EU IV: EU Competition Policy (AUW)

Political Science — Master Notes · by Jakob V. Stangel

Required reading: Wilks, S. (2014), "Competition Policy: **Defending the Economic Constitution**," in H. Wallace, M. A. Pollack & A. R. Young (eds), *Policy-Making in the European Union*, 7th ed., OUP, ch. 6.

Theme of the lecture. Competition policy is the lecture's **worked example of "EU institutions in action"** — and it's a special one: arguably the **most developed, most supranational** common policy underpinning the Single Market. After the basics (what competition policy is, its instruments, why it's so supranational), the lecture zooms in on **high-profile recent cases** — **Google Shopping** (abuse of dominance in digital markets → the DMA) and **Fiat/Apple** (tax breaks as illegal state aid), plus **foreign subsidies**. Throughout, three theoretical lenses compete to explain it: **liberal intergovernmentalism, supranationalism/neofunctionalism, and ideas (constructivism).**

> ★ **The heart of the lecture:** competition policy keeps the market's playing field **level** — stopping **firms** (cartels, abuse of dominance, anti-competitive mergers) *and* **governments** (state aid, foreign subsidies) from rigging competition. It is the EU's **most supranational** policy: an **exclusive competence** where the **Commission (DG COMP)** makes, enforces, and adjudicates the rules — investigator, prosecutor and judge in one. Wilks's thesis: this makes competition policy the EU's "**economic constitution**" — the foundational, quasi-constitutional rules that entrench a competitive market order.
> **Red thread:** why is the Commission *so* powerful here — and is competition policy just being *adapted* to digital markets, or is the EU *redefining what competition means?*

Key concepts to apply: *the economic constitution / ordoliberalism · competition vs competitiveness policy · exclusive competence · antitrust (Art. 101 cartels · Art. 102 abuse of dominance) · merger control · state aid (Arts. 107–109) · DG COMP · the European Competition Network (ECN) · leniency · gatekeepers · ex-post vs ex-ante regulation (the DMA) · foreign subsidies* · the three lenses (*LI · supranationalism · ideas*).

What is competition policy? (competition ≠ competitiveness)

Core: a crucial distinction the lecture opens on. **Competition** policy and **competitiveness** policy sound alike but are opposites in method.

	Competition policy	Competitiveness policy
Question	how do we maintain **effective competition *between firms*** in the EU market?	how do we make **European firms/the economy** more productive & globally competitive?
Method	**referee** — police and constrain firms & governments	**booster** — support and promote industry

- **The puzzle:** *when should public authorities intervene in markets to protect competition?* The flashpoints: **cartels, market dominance, state aid, digital gatekeepers, foreign subsidies.**

Why the single market needs rules of competition

Core: open markets create incentives to **compete** — but also incentives to **escape** competition. Competition policy exists to stop four kinds of rigging.

- **The basic problem:** actors have incentives to **reduce** competition (it's more profitable not to compete). EU competition policy tries to prevent:
  1. **firms restricting competition** (cartels);
  2. **dominant firms abusing** market power;
  3. **governments distorting** competition through **state aid**;
  4. **anti-competitive mergers.**
- → *Competition rules are the **complement** to the single market: EU III removes state barriers to trade; competition policy stops **private** actors (and subsidies) from rebuilding those barriers.*

An exclusive competence

Core: competition is one of the EU's few **exclusive competences** (Art. 3 TFEU) — *only the EU* sets the competition rules needed for the internal market. This is why it's so supranational.

- Because it's exclusive, **supranational authorities** hold substantial responsibility for the whole chain: **making the rules → enforcing them → developing the policy.** (Contrast the *shared/supporting* competences from EU II.)

★ The competition policy toolbox

Core: six instruments — **four traditional pillars** plus **two new frontiers** — all wielded by the **European Commission / DG COMP.**

#	Instrument	Purpose	Treaty base
1	**Cartels**	stop firms **colluding**	**Art. 101 TFEU**
2	**Abuse of dominance**	stop dominant firms **excluding** rivals	**Art. 102 TFEU**
3	**Merger control**	block mergers that **substantially harm** competition	Merger Regulation
4	**State aid**	stop governments **selectively distorting** competition	**Arts. 107–109 TFEU**
5	**Digital-market regulation** *(new)*	pre-empt anti-competitive behaviour by **gatekeepers**	the **DMA**
6	**Foreign-subsidies regulation** *(new)*	curb **non-EU** subsidies distorting the EU market	Foreign Subsidies Regulation

→ *Pillars 1–4 are the classic core; 5–6 are the EU's response to **digital platforms** and **geopolitical** competition (China). The rest of the lecture walks each one.*

★ The "economic constitution" — Wilks's central argument

Core: Wilks's thesis and the chapter's title — competition policy is not just another policy; it is **constitutional.** The competition rules are the EU's "**economic constitution**": the foundational, quasi-constitutional principles that **guarantee a competitive market order**, disciplining **firms *and* governments.**

- **The ordoliberal idea.** "**Economic constitution**" (*Wirtschaftsverfassung*) comes from German **ordoliberalism**: the state's core job is to **set and defend a legal framework that guarantees competition** — protecting the competitive order from **both** private power (cartels, monopolies) **and** state distortion (subsidies).
- **The ECB analogy (memorable):** *just as the **ECB** guarantees a sound currency and low inflation, the **competition rules** guarantee a free market and economic efficiency* — together an "**economic constitution**" for Europe.
- **Why "constitutional":** as the EU's **treaties function like a constitution**, their **economic provisions become constitutional principles** that structure the whole economy — and *frame other policies* (R&D, environment, telecoms, media). Every economic actor must accept the market order the rules define. This is why competition policy can **discipline national governments**, not just companies.
- **Three edges Wilks draws out:** (1) it makes **DG COMP** "**doubly insulated**" — exceptionally independent; (2) "**juridification**" — the economy is increasingly run through **law and courts** (economic rights protected, but at the cost of legal process); (3) it **embeds a particular, arguably *neoliberal*, market model** — raising the political stakes (the **social-market/"Rhenish"** vs **Anglo-Saxon** debate — see history).
- **It was contingent, not inevitable:** this free-market vision became dominant only via the **1980s neoliberal turn + the 1992 single market**, and was **consolidated by the collapse of communism** and **eastern enlargement** (new members swallowed it whole as part of the *acquis*).

How does the EU enforce competition rules?

Core: competition policy is **the** most supranational EU policy because the market **needs** uniform rules — and the **Commission (DG COMP)** is a uniquely powerful enforcer combining **economic analysis + legal authority + enforcement** in one house.

- **Multi-level, but Commission-led:**
  - **EU level:** common rules · **Commission enforcement** · **CJEU** review.
  - **National level: National Competition Authorities (NCAs)** enforce within member states, coordinated through the **European Competition Network (ECN).**
- **The Commission's role has *expanded*** — from merely **proposing** common rules to running the whole enforcement chain: **investigation → enforcement → remedies → fines.** It has become "an increasingly **autonomous** competition regulator" — effectively **investigator, prosecutor, and judge** in one (a key debate — see the due-process critique).
  - Enforcement teeth: **dawn raids** (surprise inspections), heavy **fines** (up to **10% of global turnover**, paid into the **EU budget**), **commitments/remedies**, and — for cartels — the **leniency**

programme.

- **DG COMP — "perhaps the most powerful competition authority in the world"** *(Wilks)*. A **small** directorate (~720 staff) but exceptionally **autonomous** — ranked among the five "elite" global agencies (with the US FTC & DOJ). Its **administrative model** (officials investigate *and* decide) is a global alternative to the US **court-based** model.
- **Modernization — Regulation 1/2003** *(Wilks)*. A "once-in-a-generation" reform that **decentralized** antitrust enforcement to the **NCAs** (under Commission supervision), coordinated through the **European Competition Network (ECN)**. It **replaced national laws with EU law** for cross-border cases and **mobilized NCA resources** — vital, since DG COMP is chronically **understaffed** (~436 senior officials policing 450m+ consumers).
- **The "prosecutor, judge and jury" critique** *(Wilks — a key legitimacy debate)*. In the Art. 101 process one **rapporteur** investigates, negotiates *and* prosecutes, then DG staff **decide and set the fine** — all inside one organization ("policeman, arbitrator, prosecutor, judge, jury *and* prison officer"). Hence recurring calls for an **independent European Cartel Office** — and the **General Court** has pushed back (it overturned the Commission in *Airtours* 2002 for "manifest errors"). → *the accountability problem grows sharper as DG COMP grows more powerful (see debates)*.

Pillar 1 — Cartels (Article 101 TFEU)

Core: the classic sin: **competitors agreeing not to compete.** Art. 101 prohibits **agreements and concerted practices** that prevent, restrict or distort competition.

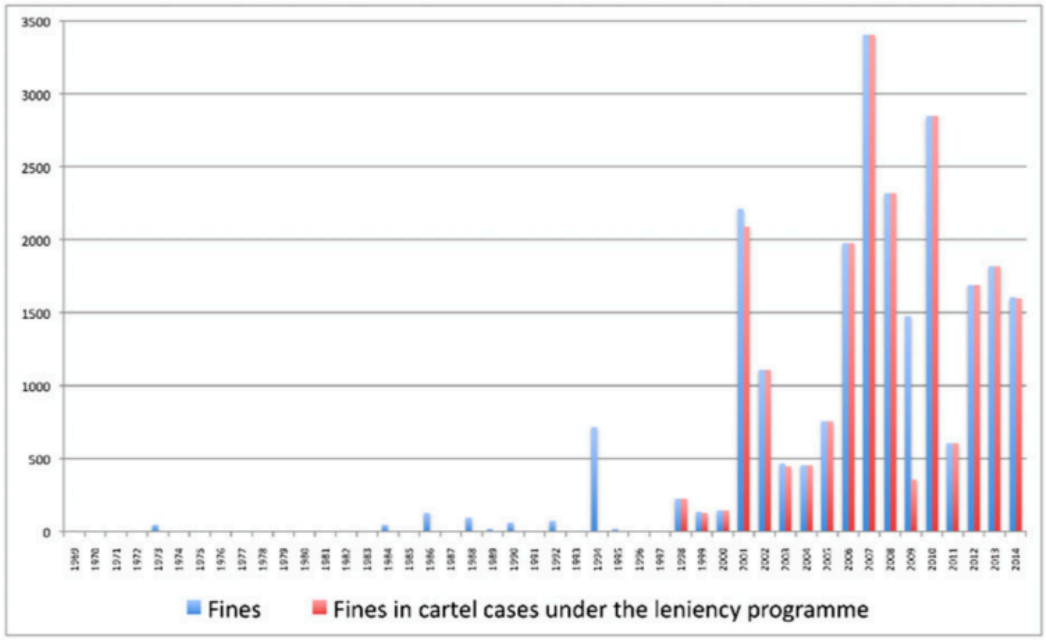
- **Typical cartel conduct: price-fixing · market-sharing · production limits · restrictions on technical development (R&D).**
- **The car-emissions cartel** (Daimler, BMW, VW): the firms held technology that could cut harmful **nitrogen-oxide (NOx)** emissions — and **agreed *not* to compete** on developing/deploying it. → *Illustrates:* a cartel can suppress not just price competition but **innovation itself** — colluding to keep a cleaner technology off the market. *(A striking answer to "why would firms agree not to innovate?": innovation is costly, and not competing protects everyone's margins.)*

The leniency programme — the Commission's best cartel-buster

Core: cartels are secret, so the EU turns members against each other: the **first** conspirator to **confess** and hand over evidence gets **total immunity** (or a big discount). A **whistleblower** tool that makes cartels unstable from within.

- **How it works:** self-report → **full exemption** for the first mover; **reduced fines** for later cooperators. Because each member fears a rival will defect first (a **prisoner's dilemma** turned against the cartel), it **destabilizes** cartels and cracks open cases the Commission could never prove alone.

Figure 1: Total fines per year (1962–2014. Constant millions of euros 2010)



How to read it. Two things jump out: **(1)** enforcement was **tiny until ~2000**, then **exploded** — the Commission grew into a heavyweight regulator (peaks ~**€3.4 bn in 2007**, ~€2.8 bn in 2010); **(2)** most of the biggest years are **red** — **cartel fines under the leniency programme** — showing how central leniency became to modern enforcement. → *Visual proof of the deck's "increasingly autonomous regulator": the Commission's competition muscle is a recent, dramatic development.*

Pillar 2 — Abuse of a dominant position (Article 102 TFEU)

Core: the crucial nuance — **being dominant is *not* illegal.** What's banned is **abusing** dominance to squeeze out competitors.

- **Dominance ≠ abuse:** a firm can lawfully grow big and win the market. Art. 102 bites only when it **abuses** that position. Typical abuses:
  - **exclusive purchasing** requirements (lock customers in);
  - **predation** (price below cost to kill rivals, then raise prices);
  - **refusal to supply** an input rivals need to compete;
  - **excessive pricing** — e.g. the **Aspen** case (a pharma firm hiking prices of off-patent drugs).
- → *The hard question is always **where dominance ends and abuse begins** — which is exactly what Google Shopping tests in digital markets.*

Pillar 3 — Merger control (Wilks)

Core: the "**dramatic face**" of competition policy — the Commission can **block or condition** mergers that would create a dominant position. A "**one-stop shop**" for Europe's biggest deals.

- **Legal basis:** the **Merger Regulation** (Reg. **4064/89 → 139/2004**, in force 1990) — Sir **Leon Brittan's** triumph that made DG COMP **globally pre-eminent.** *(Note: merger control was **not** in the original Treaty — it had to be added in 1989.)*
- "**One-stop shop**"**:** the Commission handles the **largest** mergers (aggregate turnover above a **€5 bn** threshold — ~**300/year**); smaller deals go to national authorities. Firms **prefer** it — **fast, transparent, one approval** instead of 28.
- **Two phases: Phase 1** (most cleared within a month) → **Phase 2** (in-depth). **Outright blocks are rare** (only **~4 in 2003–12**); the norm is **approval with conditions** (e.g. **divestitures**).
- **The test:** originally "**dominance**"; the **2004 reform** added "**significant impediment to effective competition**" (SIEC), nudging toward the US/UK "substantial lessening of competition" standard — but it stays an **economic** test, not a public-interest one.
- **Subsidiarity valves:** the "**German clause**" **(Art. 9)** lets a case be sent *down* to a national authority; the "**Dutch clause**" **(Art. 23)** lets a state ask the Commission to take a case *up*.
- **The 2001–02 shock** (why the "more economic approach" happened): the Commission **blocked GE/Honeywell (2001)** — a US firestorm over "arrogance/poor economics" — then in **2002** ***lost*** its first-ever appeal (**Airtours**, "manifest errors of assessment"), plus **Schneider** and **Tetra Laval.** Response: it **beefed up economics** — a new **chief economist** post (2003), Monti's "economic interpretation."
- **Extraterritorial reach:** the Commission blocked **Deutsche Börse/NYSE Euronext** *despite* US approval — fuelling the recurring US charge that the EU "protects **competitors**, not **competition**."

Digital markets — what happens when market power changes?

Core: digital platforms **break** the traditional competition model. Their economics make **concentration self-reinforcing**, so a dominant platform is far harder to dislodge than a dominant factory.

- **Why digital markets tip to monopoly:**
  - **network effects** — more users → more value → still more users;
  - **economies of scale** — near-**zero marginal cost** to serve one more user;
  - **data advantages** — more users → more data → better service → more users;
  - **ecosystems** — bundled services reinforce each other. → **Result:** concentration **reinforces itself** — a winner-takes-most dynamic.
- **From dominance to *gatekeeping*.** The old question — *is a dominant firm abusing its position?* — gives way to a structural one: *does the platform **control access** to users and markets?* A **gatekeeper** is "a platform that controls access to a large group of users." Its risks: **lock-in · barriers to entry · self-preferencing · data advantages.**

Google Shopping — when the platform competes with its own users

Core: the flagship digital abuse-of-dominance case. **Google gave its own comparison-shopping service more prominent placement** in search results than rivals'. **Is that just competition, or abuse of market power?**

- The Commission ruled it **abuse of dominance** (self-preferencing) — Google used its **search near-monopoly** to advantage its own downstream service, foreclosing rival shopping comparison sites. *(A huge fine followed.)* → *Illustrates:* Art. 102 stretched into digital markets — but slowly, **case by case**, which is precisely the problem the DMA tries to fix.

The Digital Markets Act — regulation *before* the abuse (ex-ante)

Core: the key shift. Traditional antitrust is **ex-post** (spot conduct → investigate → decide → fine) — but **digital markets change faster than enforcement can act.** The **DMA** goes **ex-ante**: set **rules in advance** for designated **gatekeepers.**

	Traditional antitrust (ex-post)	The DMA (ex-ante)
Logic	*did this firm abuse dominance?* — after the fact	*what obligations must a powerful gatekeeper follow* — in advance
Timing	slow, case-by-case, reactive	pre-emptive rules of conduct

- **DMA obligations on gatekeepers: no self-preferencing · fairer access · interoperability · data-sharing/portability obligations · limits on combining data** across services.
- **The bigger question (deck):** is the EU merely **adapting** competition policy to new markets — or **changing its very idea of what a competitive market requires** (from *police abuses after they happen* to *regulate structure up front*)? → *This links straight to Wilks's "economic constitution": the EU is writing new constitutional rules for digital capitalism.*

Pillar 4 — State aid: when *governments* distort competition

Core: the uniquely-EU pillar. Competition can be rigged not just by firms but by **governments** favouring their own companies. EU **state-aid** control forbids members from **selectively tilting the playing field.**

- **Forms of state aid: subsidies · tax advantages · preferential loans · government guarantees · preferential access** to goods/services.
- **The EU principle:** member states must **not selectively** advantage particular firms/sectors in a way that distorts competition. *(This is remarkable — the EU polices its own **member governments**' economic choices, not just companies. A major constraint on national industrial policy.)*

Tax rulings as state aid — Fiat & Apple

Core: the syllabus's **Fiat** case (and its twin, **Apple**): the Commission attacked **sweetheart tax deals** as **illegal state aid.**

- **Fiat (FFT) in Luxembourg** and **Apple in Ireland:** national tax authorities gave the companies **favourable tax rulings** allowing them to pay very little tax. The Commission argued these were **selective advantages** = **illegal state aid**, and ordered the money **recovered** (Apple: **€13 bn**). → *Illustrates:* state-aid rules reaching into **national tax sovereignty** — hugely controversial (the member states involved often *fought* the Commission, not wanting the back-taxes). *(The courts have gone both ways on these — the legal boundary is contested.)*

The new frontier — foreign subsidies

Core: a **regulatory gap** the EU recently closed. EU state-aid rules bind **EU** governments — but what about a **non-EU** government (e.g. China) subsidizing a firm that then competes in the EU?

- **The gap:** an EU member's subsidy gets **EU scrutiny**; a **non-EU** government's subsidy to a firm competing in the EU market previously had **no equivalent instrument.**
- **The Foreign Subsidies Regulation** fills it: the Commission can investigate **large mergers, big public-procurement bids**, and other situations **on its own initiative (*ex officio*)**, and respond with **commitments, remedies, or outright prohibition** of a deal/contract.
- **Bulgarian train procurement (2024):** the Chinese state-owned **CRRC Qingdao Sifang** bid ~**€610 m** for 20 electric trains + maintenance. → *The dilemma:* should Bulgaria take the **cheaper** offer if the bidder was **foreign-subsidized**? Cheaper trains now vs a **level playing field** and long-term EU industry — the politics of the new tool in a nutshell.

History & political economy — how competition policy became so powerful (Wilks)

Core: competition policy went from a **marginal, distrusted idea** to the EU's **most powerful supranational regime** — and it remains **ideologically contested.**

- **Three roots: US antitrust** (late-19th-century — protect "**the little man**" from the industrial "**trusts**"); German **ordoliberalism** (the economic constitution); and the **Treaty of Rome** common-market vision (1958). Competition was once seen as **wasteful and destructive** — **cartels were legal** in Europe until the **late 1960s**, and postwar industrial policy ran on **nationalization, planning and** "**national champions.**"
- **The neoliberal turn:** the free-market vision became dominant only with the **1980s neoliberal revolution + the 1992 single market**, then **consolidated** by the fall of communism and the **2004/07 enlargements.**
- **The "more economic approach" (the "turn to economics"):** after the **2001–02 merger defeats**, DG COMP shifted from formalistic legal categories to **effects-based economic analysis** and a "**consumer welfare**" standard — an **Americanization** criticized for embedding **Anglo-Saxon neoliberalism** over the continental "**social-market**"/**Rhenish** model, and for **favouring big transnational firms** (who lobbied for it).
- **Key Commissioners: Sutherland** (state-aid "name & shame," late 80s) · **Brittan** (the Merger Regulation) · **Monti** (the €497m **Microsoft** fine; created the chief-economist post) · **Kroes** (the crisis "temporary framework") · **Almunia** (Google; modernization).

- **Competition vs industrial policy** — the enduring tension: **recessions revive** the appeal of state support and **national champions** (France/Germany/Italy protective). DG COMP's fortunes **ride the economic cycle** (boom → more mergers, less resistance; recession → interventionist voices win).
- **The financial-crisis test (the big one).** After **Lehman (2008)**, an "**avalanche**" of **bank bailouts** and calls (Sarkozy) to **suspend** state-aid rules. Commissioner **Kroes did *not* suspend** — she enacted a "**temporary framework**" **(Dec 2008)** allowing **rescue aid under conditions** aimed at eventually restoring competition. The scale was staggering: ~**€1.6 tn** of bank aid *used* (**13% of EU GDP**), **€5.1 tn approved** (**40% of 2011 GDP**); **Ireland** approved aid worth **365% of its GDP.** → **Wilks's verdict:** the regime "**bent but did not buckle**" — either a "**mild triumph**" that defended the economic constitution, *or* a **return to the status quo** that reproduced the very oligopolies and banks that caused the crisis. **None of the forecast threats** (protectionism, a swing to the Rhenish model) **materialized** — the Commission **defended the economic constitution.**
- **The accountability debate** (recap): the "prosecutor, judge and jury" critique, **corporate-lobbying** influence, and the **legitimacy** question — which **Majone** answers by "**output legitimacy**" (expertise + efficiency + due process, not democratic control — see theories).

★ Three theories of EU competition policy

Core: the deck's framing — **three lenses on the same outcomes** (the Commission's growing power; Google → the DMA; the Foreign Subsidies Regulation). Ask **what each theory looks for.**

Lens	Core claim	Looks for…
Liberal Intergovernmentalism	member states had **different preferences** about competition policy	**bargaining · who wanted what · bargaining power**
Supranationalism / neofunctionalism	the **Commission** acquired **expertise & enforcement authority**	**Commission autonomy · spillover · new competences**
Ideas (constructivism)	**understandings** of the proper role of state & market **changed**	**changing norms** about legitimate markets

- **Apply them (the deck's grid):**
  - **Commission becomes more powerful** → *LI:* who **agreed**? · *Supra:* how did **autonomy** develop? · *Ideas:* what became **legitimate**?
  - **Google → DMA** → *LI:* what did **governments** want? · *Supra:* did **regulatory gaps** create spillover? · *Ideas:* how did **ideas about competition** change?
  - **Foreign Subsidies Regulation** → *LI:* which **states** pushed for it? · *Supra:* why did **EU authority** expand? · *Ideas:* what does "**fair competition**" now mean?
- **Wilks's own lens — Majone's "regulatory state":** competition policy is the **classic example** of EU "**non-majoritarian**" **regulation** — legitimized not by majority vote but by **expertise, due process and objective efficiency** ("output legitimacy"). It's **law-driven policy-making**, run through courts and a network of agencies. *(This is the EU III neoliberal debate in its purest institutional form.)*
- **The takeaway:** no single theory wins — but competition policy is the **strongest case for supranationalism** (an autonomous Commission that expanded its own authority), *framed* by a

powerful **idea** (the market/economic constitution) that member states then **had** to accept.

★ Fun facts & memorable details (EU IV: Competition Policy)

> Sticky bits from the competition-policy lecture.

- **The ECB for markets.** Wilks's image: just as the **ECB** guards the currency, the competition rules guard the **free market** — an "**economic constitution**" for Europe.
- **DG COMP is tiny.** **~720 staff** (about 436 decision-makers) police a market of **450 million** people — the member states reportedly **keep it understaffed** on purpose, as one of the few ways to **rein it in**.
- "**Policeman, arbitrator, prosecutor, judge, jury — and prison officer.**" The memorable jibe about the Commission doing *everything* in a competition case inside one building.
- **The "nuclear option" has never been fired.** Since 2003 the Commission *can* force a company to **break itself up** (divestiture) — "the antitrust equivalent of a nuclear strike" — but has **never** done it.
- "**The Full Monti.**" When Commissioner Mario Monti fined **Microsoft €497 m** (2004) for bundling Media Player, the *FT* headline wrote itself. Microsoft's total hit reached **€1.6 bn** by 2013.
- **Leniency is a prisoner's dilemma weapon.** The first cartel member to confess walks free — so nobody trusts anyone. In **2012** there were **60 leniency applications** but only **5 cartel decisions.**
- **Fines fund the EU.** Competition fines — **€7 bn over 2009–13** — go straight into the **EU budget.** A **€1.47 bn** single-cartel fine (TV tubes, 2012) set a record.
- **Ireland guaranteed bank aid worth 365% of its GDP** during the crisis — the most extreme state-aid commitment in EU history.
- **Cartels can conspire *not to innovate*.** The car-makers agreed to hold back **cleaner emissions tech** — a reminder that competition drives not just prices but progress.
